



DIS – NYSE

Consumer Discretionary – Entertainment

Matthew Ginzburg

10/21/2025

Investment Thesis

Rating

Underperform

Recommendation

Sell

Price Target

\$105.29

Upside

8.94%

Reasoning

**Limited Growth and Increased Competition
due to over diversification in entertainment.**

Company Overview

Background

- Founded in 1923 by Walt Disney and Roy Disney.
- Global Leader in entertainment.
- Operates through multiple segments:
 - Media, Experiences, Studio, Networks

Mission

To entertain, inform, and inspire through storytelling.

Share Price



\$96.57

Recent Developments

Investing \$60 Billion into experiences segment.

Company Management



Robert Iger
CEO

- CEO since 2005
- Former ABC Executive
- Ithaca College



Hugh Johnston
CFO

- CFO since 2023
- Former PepsiCo CFO
- University of Michigan

2024 Revenue Streams

Cable Networks

- Disney, ESPN, National Geographic, ABC, FX, A+E
- 15% of Total Revenue
- Average 5-Year Growth: 0.8%

Experiences

- Theme Parks, Cruise Line, Hotels
- 48% of Total Revenue
- Average 3-Year Growth: 9.4%
 - 3-Year International Growth: 15.5%

Streaming Networks

- Disney+, Disney+ Hotstar, Hulu, ESPN+, Star+
- 28% of Total Revenue
- Average 5-Year Growth: 11.2%
- Q1 Operating Loss of \$138 million

Content Sales/Licensing

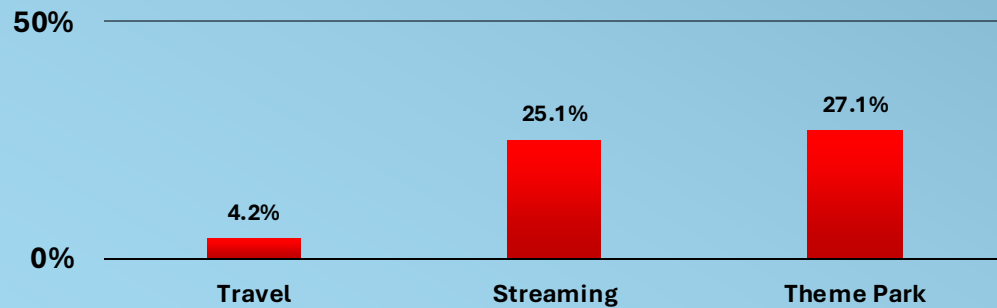
- Box Office, DVD, Live Entertainment
- 9% of Total Revenue
- Content sales and Licensing: 5.3%
 - Average 5-Year Growth: 0.7%
- Consumer Products and Media: 3.7%
 - Average 5-Year Growth: 4%



Market Share

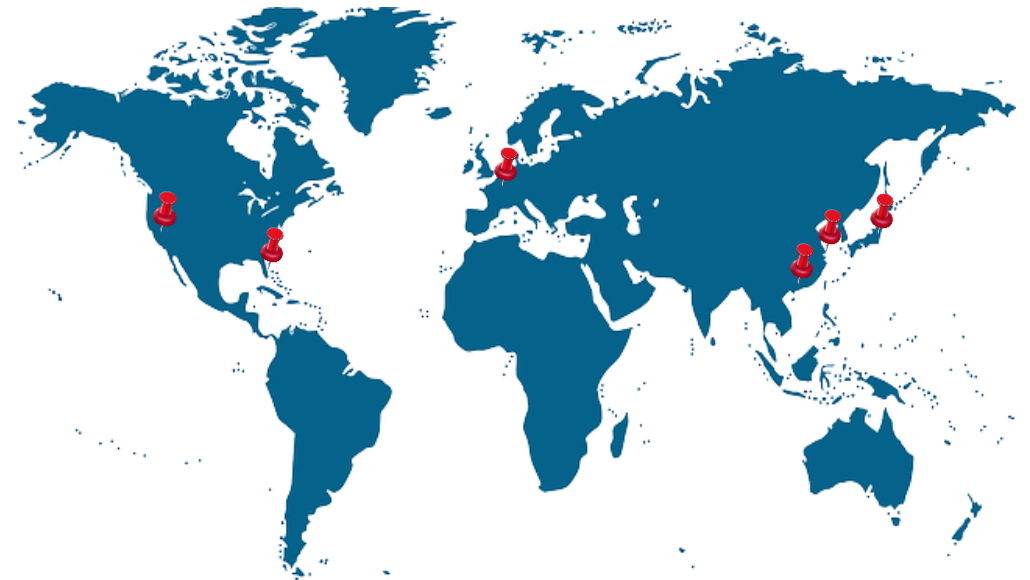
- Disney accounts for 25% of North America Box Office.
- Disney+ has amassed over 150 million subscribers.
- Accounts for 27.1% of the theme park market share.
 - Recorded 17.7 million visitors in 2023.
- 4.2% of the Cruise Line Market Share.
 - Behind Royal Caribbean at 13%
- 25% of the Streaming Market Share.
 - Behind Netflix at 27%. Ahead of Apple TV at 22% .

Market Share by Segment



Geographic Footprint

- Resorts located in California, Florida, Paris, Tokyo, Hong Kong, and Shanghai.

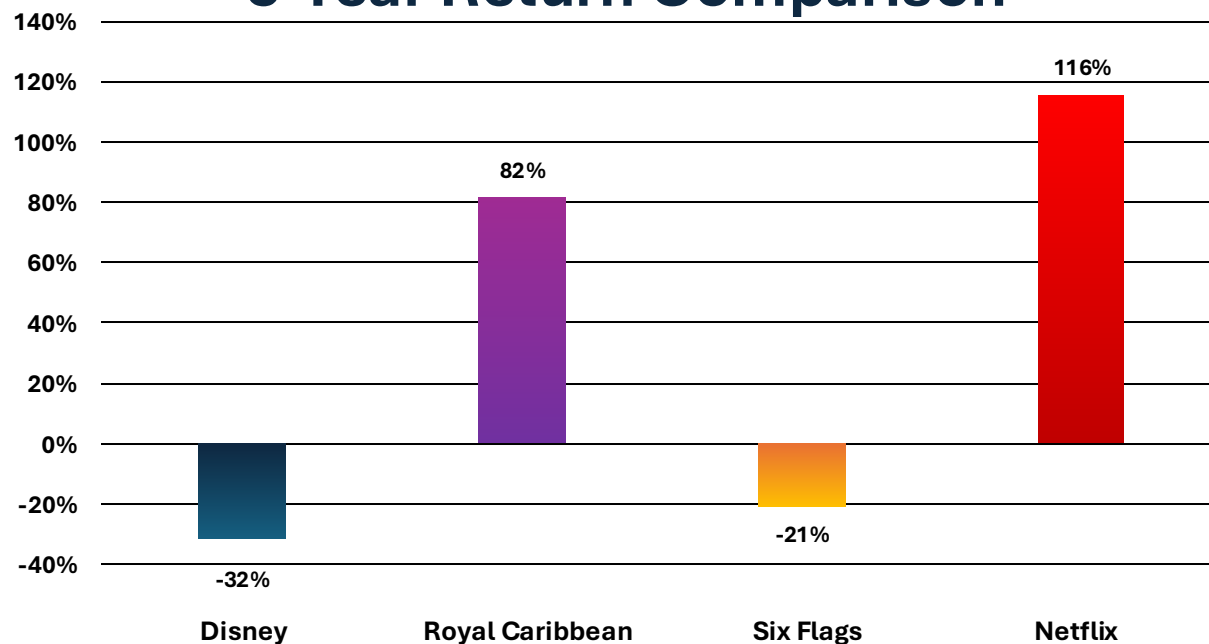


- Cruises in Alaska, the Caribbean, North Europe, Australia, Hawaii, and the Pacific Coast.
- Disney+ is available in North America, Latin America, Asia-Pacific, and Europe.

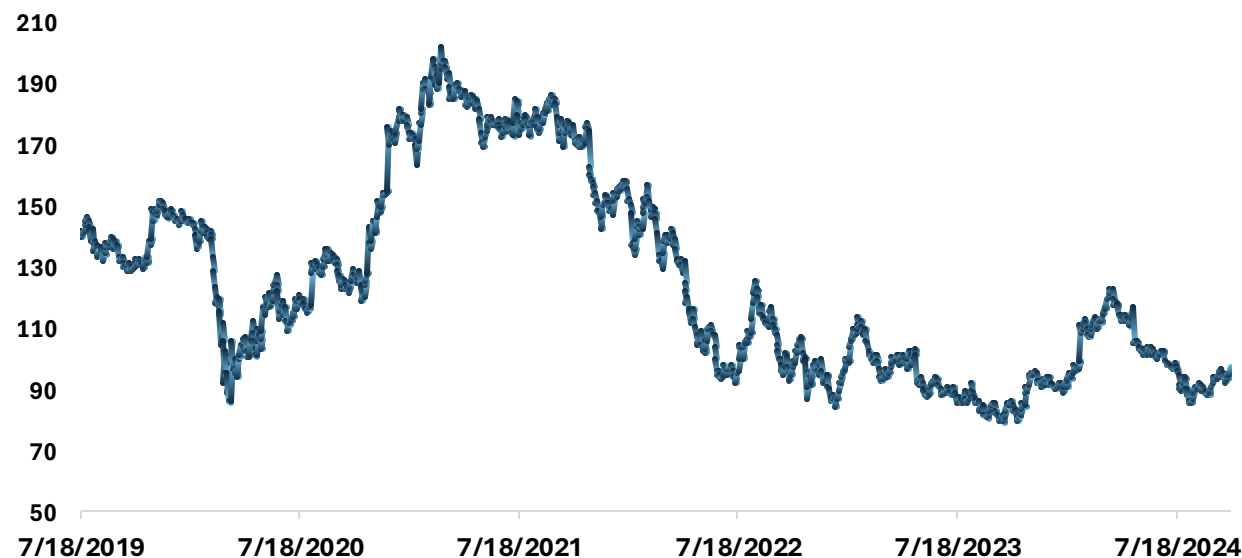
Competitive Performance

- Disney operates within the consumer discretionary sector.
 - Companies providing services and products excluding essential living expenses.
- Prioritizes in diverse entertainment and experiences.
- Underperformed Vanguard Consumer Discretionary ETF by 118% over past 5 years.
- Underperformed leading competitor in each revenue segment:
 - Cruise Line: Royal Caribbean: 82% 5-Year Return
 - Theme Park: Six Flags: -21% 5-Year Return
 - Streaming: Netflix: 116% 5-Year Return

5-Year Return Comparison



Disney 5-Year Stock Price (\$)



Benchmark Multiples

Metric Comparison							
Company	Market Cap	EBITDA Margin	EBITDA Multiple	Dividend Yield	PB	PE	EPS
Disney	176,430,000,000	16%	15.24	0.77%	1.80	19.70	2.61
Comcast	162,370,000,000	32%	6.54	2.96%	1.96	11.17	3.75
Warner Brothers	19,170,000,000	54%	2.52	0.00%	0.56	N/A	(4.80)
Netflix	327,830,000,000	64%	14.03	0.00%	14.83	39.95	16.00
Paramount	6,970,000,000	50%	1.42	1.91%	0.42	N/A	(7.79)
Six Flags	2,700,000,000	26%	13.85	10.72%	(2.76)	N/A	(1.96)
Royal Caribbean	51,470,000,000	35%	13.41	0.80%	8.57	22.41	8.92
FOX	17,860,000,000	21%	7.75	1.39%	1.69	12.46	3.13

- **Revenue:** Disney reported \$89 Billion in 2023 revenue, trailing only Netflix of its primary competitors.
- **EBITDA Margin:** Disney has a 16% EBITDA Margin, the lowest of its competition, compared to Netflix at 64%.
- **EBITDA Multiple:** 15.24 compared to an average of 16.47 in the consumer discretionary sector.
- **P/E:** Overpriced compared to Comcast and FOX, underpriced compared to Netflix & Royal Caribbean.
- **Dividend Yield:** 0.77% compared to an average of 1.03% in the consumer discretionary sector.
- **EPS:** Weak EPS compared to Netflix and Royal Caribbean.

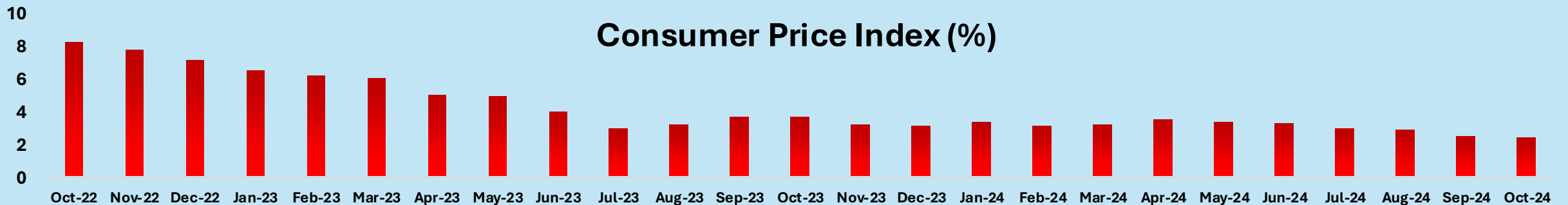
Tailwinds

Reduced Interest Rates

- With lower interest rates expected, the average US consumer should attain more relief from borrowing rates.
- Increasing discretionary income for entertainment and travel.
- With bond yields expected to decrease, investors may seek higher growth in stocks.

Strong Economy

- Disney is dependent on the status of the economy. The economy is currently working in favor of the consumer discretionary sector.
- CPI: 2.4%
- PPI: 1.8%
- Unemployment Rate: 4.1%
- 1-Year GDP: 2.8%



Headwinds

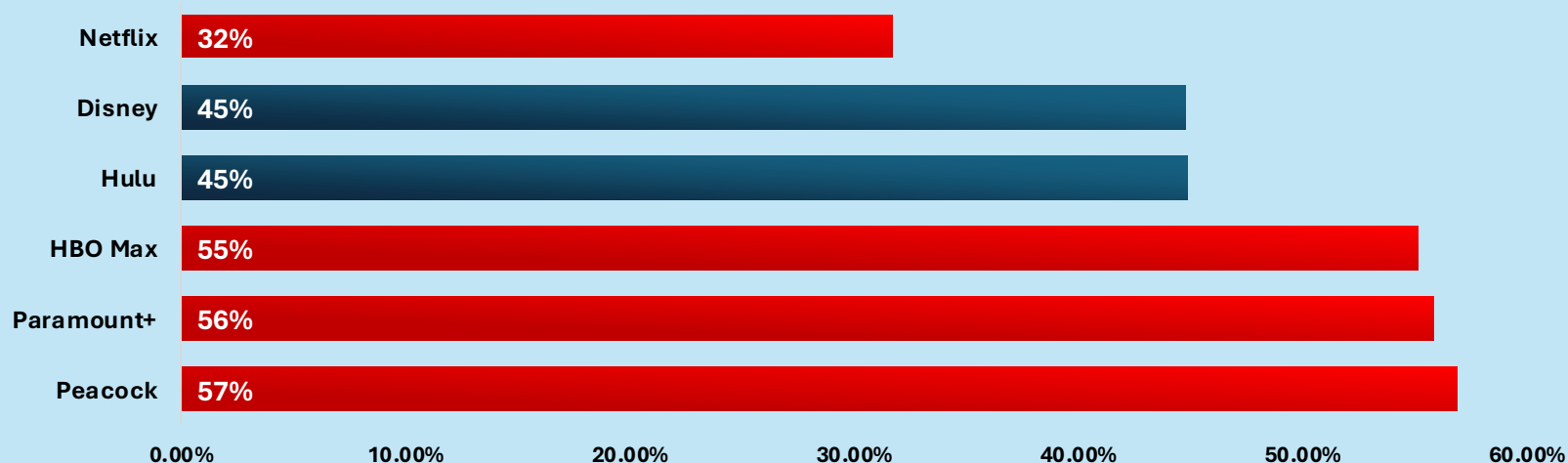
Theme Park Growth

- Disney forecasted lower demand in theme parks going into 2025.
- Lower attendance in theme parks for Q3 is likely to carry into future quarters.
- Comcast reported an 11% decrease in domestic theme parks.

Streaming Competition

- The Streaming Market is becoming crowded.
 - attracting and retaining subscribers is challenging.
- Requires continuous investment into original content to compete with Netflix, Amazon Prime, and HBO Max.

12-Month Churn Rate

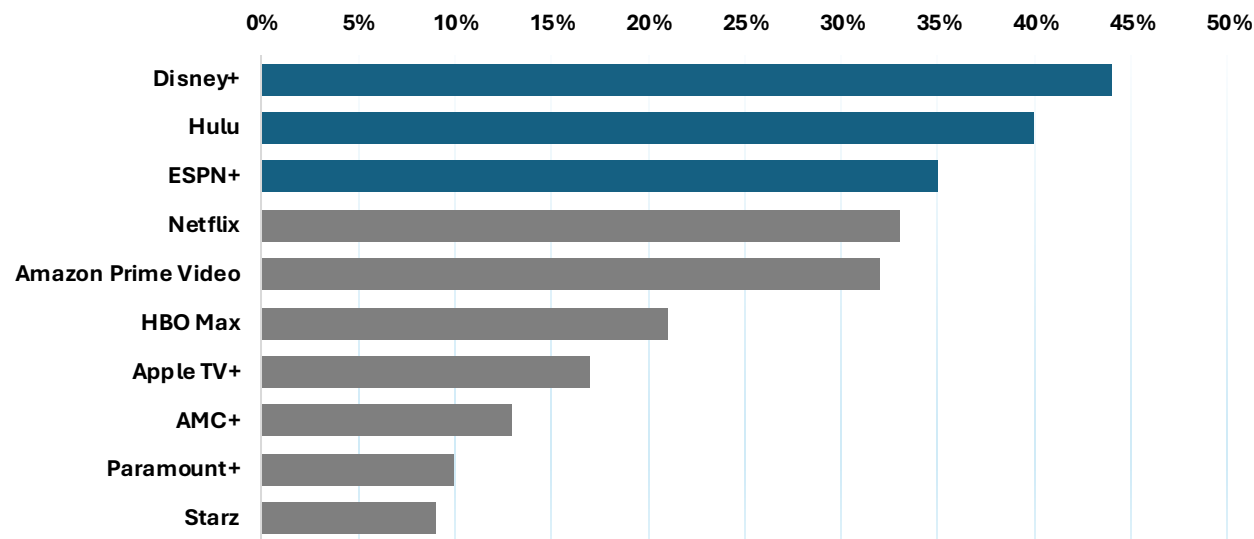


Catalyst 1

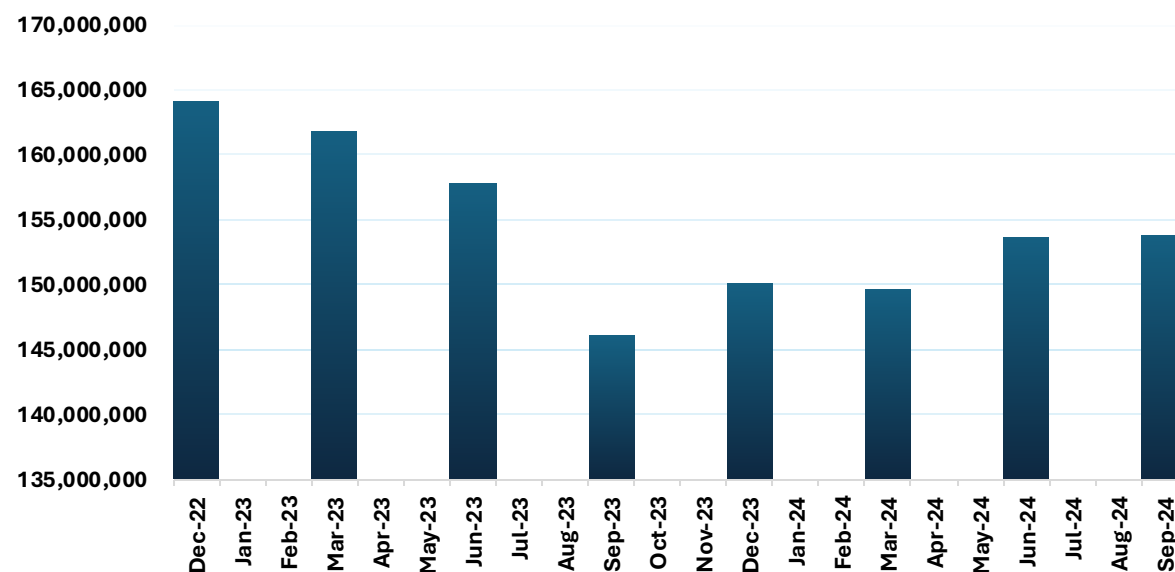
Declining Subscriber Growth

- Disney+ reached a peak subscriber count in Q4 2022 at 163 million subscribers.
 - The subscriber count has since decreased.
- Revenue from streaming services is stalling.
 - Disney cannot raise prices to increase revenue because they will lose subscribers
- Streaming accounts for 29% of revenue.
 - Streaming growth is near its limit.

Forbes: Which streaming service consumers would cancel if the price increased.



Disney+ Subscriber Count Since Peak

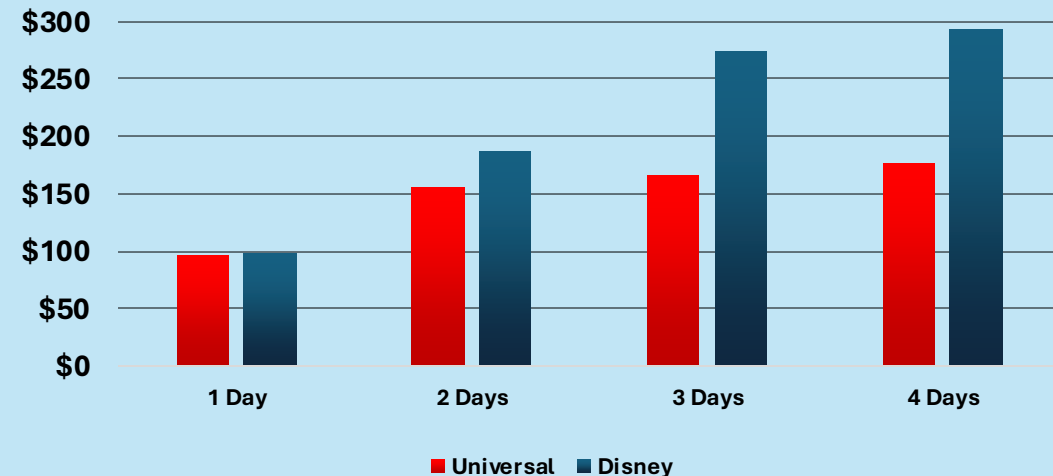


Epic Universe

- Universal Studios is opening a new theme park in Orlando Florida named Epic Universe.
- Set to open May 22, 2025
- The increase in competition surrounding Orlando is expected to cut into Disney World revenue.
 - Research Firms suggest a potential 1 million visitor impact over 2025.
- Single day tickets are similar, however Universal offers much more affordable options for multi-day stays.



Disney World vs Universal Ticket Prices



Q3 & Q4 Caution

Typhoon in Shanghai

- Typhoon Bebinca resulted in a 3-day close in September, including a full refund for all tickets.
- Expected losses exceed \$10M.

Disneyland Paris

- Paris Olympics steal attention from Disneyland Paris.
- Forecasted an attendance drop of 25%.
- Workers demand 6% pay increase.

Hurricane Milton

- Goldman Sachs predict that hurricane Milton could cost between \$150 and \$200 million.
- CNBC estimates that attendance will drop 6% in the financial quarter.
- Disney World has only closed its parks 11 times in history.
- Disney Cruise Line closures in the Caribbean.

Impact

The financial losses are something that investors will be considering while awaiting the results from Q3 and Q4 earnings reports.

Cyclical Risks (Already Priced In)

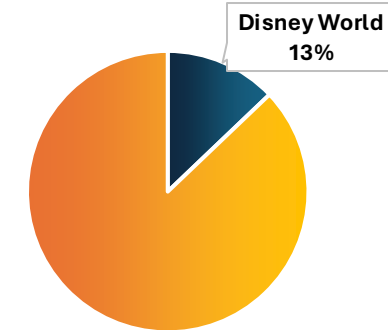
Hurricanes

- Disney World accounts for 13% of total revenue.
 - \$36 million per day from tickets, merchandise, food, and hotel booking.
- Disney accommodates for this damage by investing in infrastructure, and extensive insurance expenditure.

Recession

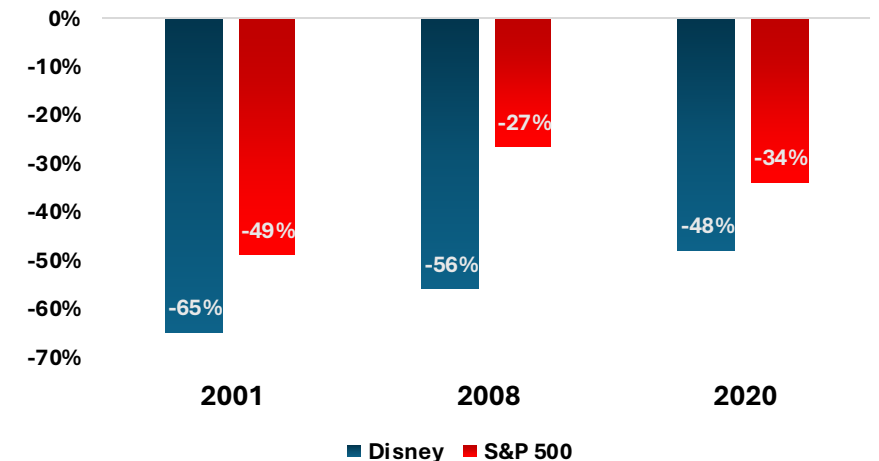
- Disney is within the Consumer Discretionary Sector.
- When consumer spending is tight, this sector is heavily at risk.
- Disney performs worse than the index during a recession.
- This can be mitigated by Investing in consumer staples.

Disney World Portion of Total Revenue



■ Disney World ■ Total Revenue

Disney vs S&P 500 During a Recession



■ Disney ■ S&P 500

Financials

Income Statement

Income Statement (mm)							
Year	FY 2017	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022	FY 2023
Revenue	55,137	59,434	69,607	65,388	67,418	82,722	88,898
COGS	30,306	32,726	42,061	43,880	45,131	54,401	59,201
Gross Profit	24,831	26,708	27,546	21,508	22,287	28,321	29,697
EBITDA	16,655	17,848	15,997	4,303	8,969	12,492	11,385
EBIT	13,873	14,837	11,830	(1,941)	3,005	6,533	5,196

Balance Sheet

Balance Sheet (mm)							
Year	FY 2017	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022	FY 2023
Total Current Assets	15,889	16,825	28,124	35,251	33,657	29,098	32,763
Total Assets	95,789	98,598	193,984	201,549	203,609	203,631	205,579
Total Liabilities	49,637	44,643	91,132	104,037	101,385	95,253	92,567
Total Equity	46,152	53,955	102,852	97,512	102,224	108,378	113,012
Total Liabilities & Equity	95,789	98,598	193,984	201,549	203,609	203,631	205,579

Cash Flow Statement

Cash Flow (mm)							
Year	FY 2017	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022	FY 2023
Cash from Operating Activities	12,343	14,295	6,606	7,618	5,567	6,010	9,866
Cash from Investing Activities	(4,111)	(5,336)	(4,118)	(3,637)	(3,163)	(5,008)	(4,641)
Cash from Financing Activities	(8,959)	(8,843)	(1,090)	8,480	(4,385)	(4,741)	(2,724)
Net Changes in Cash	(696)	91	1,300	12,499	(1,951)	(4,342)	2,574
Free Cash Flow	8,720	9,830	1,730	3,596	1,989	1,067	4,897

DCF – Average 7-Year Growth Rates

DCF Using Average Growth Rates							
Unlevered Free Cash Flow (mm)							
Fiscal Year	2024E	2025E	2026E	2027E	2028E	2029E	2030E
Revenue	95,390	102,356	109,831	117,852	126,458	135,693	145,602
COGS	59,532	63,879	68,544	73,550	78,921	84,684	90,869
Gross Profit	35,858	38,477	41,287	44,302	47,537	51,009	54,734
Selling, General, Administrative	18,124	17,912	19,220	20,624	22,130	23,746	25,480
EBITDA	17,734	20,565	22,066	23,678	25,407	27,262	29,253
Depreciation & Amortization	5,054	5,055	5,057	5,058	5,059	5,061	5,062
Operating Profit (EBIT)	12,680	15,509	17,010	18,620	20,348	22,202	24,191
Operating Taxes	2,663	3,257	3,572	3,910	4,273	4,662	5,080
NOPAT (Net Operating Profit After Taxes)	10,018	12,252	13,438	14,710	16,075	17,539	19,111
(+) Depreciation & Amortization	5,054	5,055	5,057	5,058	5,059	5,061	5,062
(-) Capital Expenditures	6,011	6,450	6,921	7,427	7,969	8,551	9,175
(-) Change in NWC	(835)	58	62	66	71	76	82
NWC	789	846	908	974	1,045	1,122	1,204
Current Assets	37,256	39,976	42,896	46,028	49,390	52,997	56,867
Current Liabilities	36,467	39,130	41,988	45,054	48,344	51,875	55,663
Unlevered Free Cash Flow	9,896	10,800	11,511	12,275	13,094	13,973	14,916

Assumptions							
Fiscal Year	2024E	2025E	2026E	2027E	2028E	2029E	2030E
Current Assets % Revenue	39%	39%	39%	39%	39%	39%	39%
Revenue Growth	7.3%	7.3%	7.3%	7.3%	7.3%	7.3%	7.3%
Current Liabilities % Revenue	38.2%	38.2%	38.2%	38.2%	38.2%	38.2%	38.2%
COGS % of Revenue	62.4%	62.4%	62.4%	62.4%	62.4%	62.4%	62.4%
SG&A % of Revenue	19.0%	17.5%	17.5%	17.5%	17.5%	17.5%	17.5%
Tax % of EBIT	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%
Capital Expenditures	6.3%	6.3%	6.3%	6.3%	6.3%	6.3%	6.3%

Weighted Average Cost of Capital (WACC)	
Equity (mm)	163,009
Debt (mm)	40,644
Cost of Debt	4.780%
Tax Rate	21.0%
D/(D+E)	20.0%
After Tax Cost of Debt	3.8%
E/(D+E)	80.0%
Cost of Equity	8.4%
WACC	7.5%

Implied Share Price Calculation	
Sum of PV of FCF	64,266
Growth Rate	2.5%
WACC	7.5%
Terminal Value	308,168
PV of Terminal Value	186,220
Enterprise Value	250,486
(+) Cash	14,182
(-) Debt	40,644
(-) Minority Interest	13,735
Equity Value	210,289
Diluted Shares Outstanding (mm)	1810.00
Implied Share Price	116.18
Upside	20.21%

Capital Asset Pricing Model	
Risk Free Rate	4%
Unlevered Beta (1-Year)	0.73
Market Return	10%
Cost of Equity	8.38%

DCF – Adjusted Assumptions

DCF Using Anticipated Growth Rates							
Unlevered Free Cash Flow (mm)							
Fiscal Year	2024E	2025E	2026E	2027E	2028E	2029E	2030E
Revenue	96,400	101,454	106,910	112,849	119,320	126,378	134,084
COGS	64,037	67,227	70,667	74,407	78,478	82,913	87,750
Gross Profit	32,363	34,227	36,244	38,443	40,843	43,465	46,334
Selling, General, Administrative	16,270	16,753	17,272	17,837	18,452	19,120	19,847
EBITDA	16,092	17,474	18,972	20,606	22,391	24,345	26,487
Depreciation & Amortization	5,054	5,055	5,057	5,058	5,059	5,061	5,062
Operating Profit (EBIT)	11,039	12,419	13,915	15,548	17,332	19,284	21,425
Operating Taxes	2,318	2,608	2,922	3,265	3,640	4,050	4,499
NOPAT (Net Operating Profit After Taxes)	8,720	9,811	10,993	12,283	13,692	15,234	16,925
(+) Depreciation & Amortization	4,133	5,055	5,057	5,058	5,059	5,061	5,062
(-) Capital Expenditures	6,011	6,450	6,921	7,427	7,969	8,551	9,175
(-) Change in NWC	(827)	42	45	49	53	58	64
NWC	797	839	884	933	986	1,045	1,108
Current Assets	37,650	39,624	41,755	44,075	46,602	49,359	52,368
Current Liabilities	36,853	38,785	40,871	43,142	45,616	48,314	51,260
Unlevered Free Cash Flow	7,669	8,374	9,083	9,865	10,729	11,686	12,749

Adjusted Revenue Growth Assumptions based on Revenue Segment Growth												
Fiscal Year (Revenue)	2020A	2021A	2022A	2023A	2024E	Growth Rate	2025E	2026E	2027E	2028E	2029E	2030E
Linear Networks	27.6	28.0	28.3	27.0	28.4	100.8%	28.6	28.9	29.1	29.3	29.5	29.8
Direct to Consumer	10.6	16.3	19.6	20.8	24.2	111.2%	24.4	27.1	30.2	33.6	37.3	41.5
Content Sales & Licensing	10.2	6.5	6.1	6.1	6.6	100.7%	7.3	7.4	7.4	7.5	7.5	7.6
US Hotels and Theme Parks	10.2	9.4	20.1	25.7	27.2	116.8%	28.6	30.1	31.6	33.3	35.0	36.8
International Hotel and Theme Parks	2.0	1.9	3.3	3.9	4.4	124.9%	5.5	6.2	6.9	7.8	8.8	9.9
Consumer Products and Media	4.8	5.3	5.3	5.4	5.6	104.0%	7.0	7.3	7.6	7.9	8.2	8.5
Total Revenue	65,388	67,418	82,722	88,898	96,400		101454	106910	112849	119320	126378	134084

Weighted Average Cost of Capital (WACC)	
Equity (mm)	163,009
Debt (mm)	40,644
Cost of Debt	4.780%
Tax Rate	21.0%
D/(D+E)	20.0%
After Tax Cost of Debt	3.8%
E/(D+E)	80.0%
Cost of Equity	8.4%
WACC	7.5%

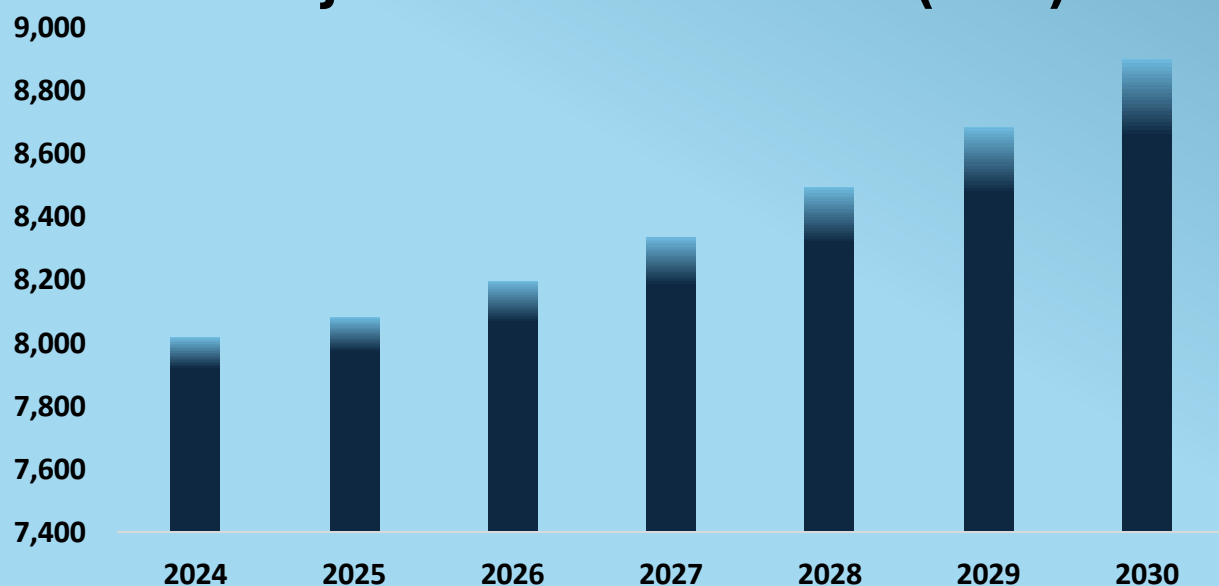
Implied Share Price Calculation	
Sum of PV of FCF	51,885
Growth Rate	2.5%
WACC	7.5%
Terminal Value	263,391
PV of Terminal Value	159,162
Enterprise Value	211,047
(+) Cash	14,182
(-) Debt	40,644
(-) Minority Interest	13,735
Equity Value	170,850
Diluted Shares Outstanding (mm)	1810.00
Implied Share Price	94.39
Upside	-2.34%

Capital Asset Pricing Model	
Risk Free Rate	4%
Unlevered Beta (1-Year)	0.73
Market Return	10%
Cost of Equity	8.38%

Projected Growth

- Average Free Cash Flow Growth of 1.76%
- Projected to underperform S&P 500 by 86%
- Projected to underperform 10Y Treasury by 23%.
- 2030 EBITDA margin of 19.9%

Projected UFCF Growth (mm)

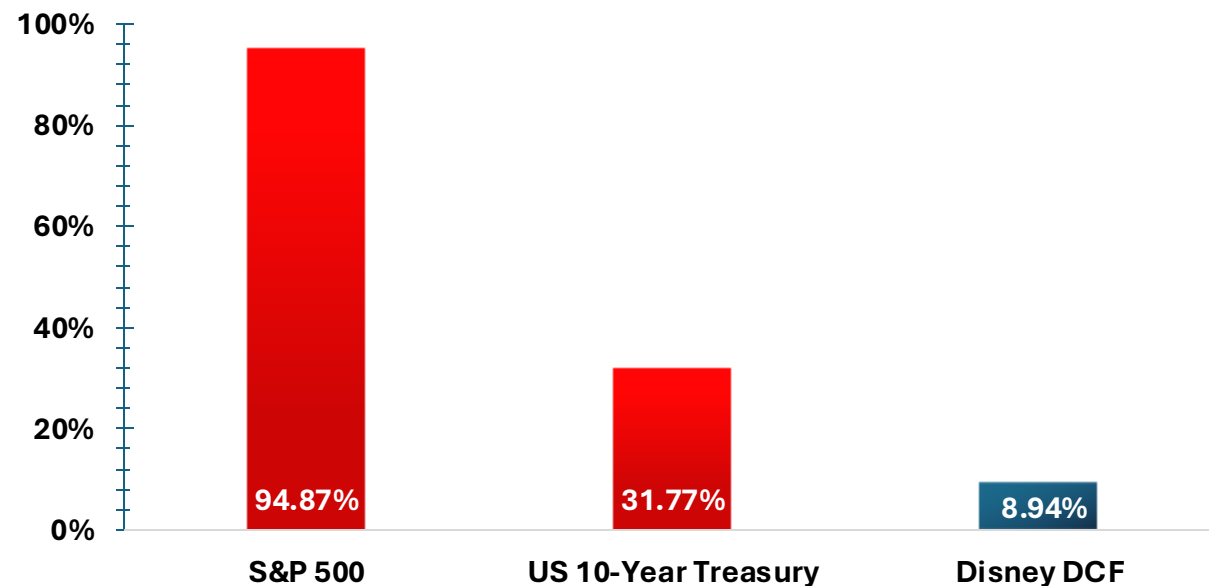


Risk-Free Comparison

Average Implied Share Price: \$105.29

7-Year Upside: 8.94%

Projected 7 Year Returns



Risk and Mitigation

Disney+ Becoming Profitable

- Disney+ has started to turn a profit for the first time since its release in 2021.
- Bob Iger set the goal of getting the streaming platform out of the red by the end of 2024.
- Disney+ is rising prices for its premium services in mid-October. As stated earlier by Forbes: consumers are most likely to leave Disney+ over any other streaming provider due to raised prices.
- If this holds true, there will not be an increase in revenue from Disney+ due to raised prices.

Strong Box-Office Year

- Disney has recorded \$3 Billion in revenue from the box office this year due to *Deadpool & Wolverine* and *Inside Out 2*.
- This only accounts for 4.36% of Disney's total revenue in 2024.
- Disney does not have any clear catalyst that has potential to drive revenue higher.
- Both upside factors have already been priced into the company's current valuation.

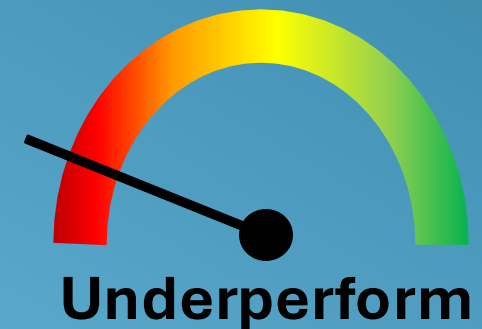
Conclusion

- I believe that Disney will underperform the index over the next 7 years due to its over diversification across multiple business segments and its over-reliance on consumer discretion.
- Disney operates its business in a way that makes it difficult to make a comparison to other companies, as there is not a company that is similarly balanced in segment focuses.
- Disney is planning to invest \$60 billion into the experiences segment of their business despite their public recognition of declining theme park attendance.
- Rather than focusing on exploiting a single area of growth like the streaming industry, they prefer to own a minority share of various markets.
- I believe that competition will be able to capitalize on this and begin to steal market share from Disney due to their commitment to a broad revenue stream.

- Disney has displayed cyclical risk during economic downturns and times of uncertainty.
- By projecting Disney's Cash Flow using 7-Year Average Growth Rates and a WACC of 7.5% their upside potential is 20.21%.
- By assuming growth rates for each revenue stream and projecting cash flow into 2030, the upside becomes -2.34%.
- Resulting in an 86% underperformance of the S&P 500 given the average projected upside of 8.94% and a target price of \$105.29 for the year 2030.

7-Year Target Price: \$105.29

Upside: 8.94%



THANK YOU, ANY QUESTIONS?